

STANDARD OPERATING PROCEDURE: FRAUD CATEGORIZATION & REPORTING

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Department: Financial Crime Prevention Group (FCPG) & Group Compliance

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1. PURPOSE & SCOPE

This SOP establishes a "Zero Tolerance" framework for fraud detection across ICICI Bank's domestic and international branches. It integrates the **i-Safe AI Engine** for real-time risk scoring and automated filing of Fraud Monitoring Returns (FMR).

2. FRAUD CATEGORIZATION MATRIX (ICICI-SPECIFIC)

ICICI categorizes frauds into "Professional" vs. "Process" lapses, mapped to the mandatory RBI codes.

Category Code	Classification	ICICI Indicators / Risk Triggers	Mandatory Evidence
IC-01	Retail Asset Fraud	Income document manipulation (Salary slips/ITRs), Property valuation inflation.	CPV (Contact Point Verification) report, Original document scans.
IC-02	Digital Ecosystem Fraud	iMobile Pay hijacking, VPA (Virtual Private Address) spoofing, Merchant onboarding fraud.	Device Fingerprinting logs, SMS Gateway timestamps.
IC-03	Corporate/Wholesale Fraud	Fund siphoning, Letters of Credit (LC) devolvment, related-party transactions.	Stock audit by Empaneled Auditor, MCA filing logs.

IC-04	Internal Fraud (Staff)	Password sharing, data exfiltration, unauthorized credit limit overrides.	DLP (Data Loss Prevention) logs, AD (Active Directory) audit trails.
IC-05	Third-Party/Vendor Fraud	Fake valuations, legal opinion collusion, fake collection receipts.	Vendor Due Diligence (VDD) report, Field investigation notes.

3. OPERATIONAL WORKFLOW

Phase 1: AI-Powered "i-Safe" Monitoring

- **Pre-emptive Detection:** ICICI's AI engine assigns a **Risk Score** to every transaction. Scores above the "Critical Threshold" trigger an automated outbound dialer (OBD) or SMS to the customer to confirm the transaction.
- **Red Flagged Account (RFA):** In Corporate Banking, accounts exceeding ₹50 Crore are monitored via **Early Warning Signals (EWS)**. If 2 or more "Critical Red Flags" are triggered, the account is moved to the **Watchlist**.

Phase 2: Adjudication & Natural Justice

- **Centralized Review:** Unlike PSBs, ICICI utilizes a **Centralized Monitoring Committee (CMC)** to ensure uniformity across regions.
- **Show-Cause Issuance:** In compliance with the 2024 RBI mandate, an SCN is digitally dispatched to the borrower.
- **The 21-Day Rule:** The bank provides exactly **21 days** for the borrower to submit a representation.
- **Reasoned Order:** The **Fraud Identification Committee (FIC)** issues a final "Reasoned Order," which is communicated to the borrower before the account is reported to the Central Fraud Registry (CFR).

Phase 3: Reporting & Recovery (The "Fast-Track" Model)

- **Digital Reporting:** FMR-1 is filed via the **RBI XBRL system** within 14 days of classification.
- **Law Enforcement:** For digital frauds, the system automatically logs a complaint on the **National Cyber Crime Reporting Portal (1930)**.
- **Recovery Action:** Simultaneous filing of cases under the **SARFAESI Act** or **Insolvency and Bankruptcy Code (IBC)** for corporate defaults.

4. ESCALATION & AUTHORITY LEVELS

Impact Level	Exposure (INR)	Competent Authority	Reporting Requirement
Level 1	Up to 10 Lakhs	Regional Head - FCPG	Zonal Management Committee
Level 2	10 Lakhs to 1 Crore	Head - Group Compliance	RBI (Central Fraud Registry)
Level 3	Above 1 Crore	Executive Director / Audit Committee	Board of Directors & SFIO

5. AUTOMATED ANNEXURES

- **For IC-01/03:** Automated "Notice of Inclusion in the Caution List" sent to other banks via the **IBA (Indian Banks' Association)** portal.
- **For IC-02:** Automated generation of the "Cyber Incident Report" for the **CERT-In** (Indian Computer Emergency Response Team).
- **For IC-04:** Automated "Suspension Order" and "Internal Inquiry Notice" for staff involvement.

Approved By: Audit Committee of the Board (ACB)

Custodian: Head - Financial Crime Prevention Group (FCPG), ICICI Bank Towers, BKC